BUY RECOMMENDATION

Price: 52.12 EUR (as of 11 Feb 2025)

KONE OYJ (HEL: KNEBV)

Target: 55.46 (6.41%)

Sector: Elevator and Escalator

Prepared by: Group Can is Can Kub

BUSINESS ANALYSIS

Founded in 1908, KONE Corporation is a Finnish multinational and global leader elevator engineering company. Headquartered in Helsinki, Finland, the company employs over 60,000 personnel across 60 countries worldwide, providing elevators, escalators, moving walkways, and automatic doors. The key focus of the company is to support sustainability by providing innovative and sustainable vertical transportation solutions. In 2024, KONE had annual sales of EUR 11.1 billion and is listed on the Nasdaq Helsinki Stock Exchange with consistently ranked among the world's most sustainable companies due to its commitment to energy-efficient and smart building solutions. Strategy KONE has outlined four key strategic shifts: accelerating digital transformation to enhance service operations, driving modernization to unlock new growth opportunities, strengthening its position in the residential segment, and reducing carbon emissions to create value and differentiation for customers. At the heart of this strategy are people, as KONE strives to be the easiest company to work for and with. Guided by its core values of courage, care, customer focus, and collaboration, KONE remains committed to its purpose 'We shape the future of cities.'

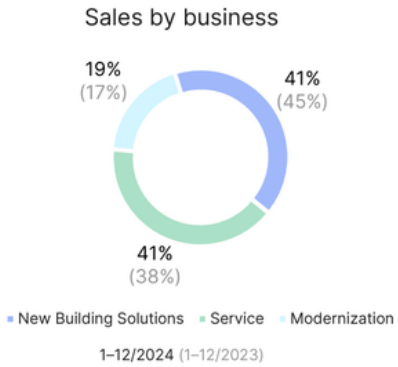
Business model

Revenue stream KONE provides value for the customers during the whole life cycle of the building. The company generates revenue through three main segments: New Building Solutions (41% FY24), Service (41% FY24) and Modernization (19% FY24). (1) In **New Building Solutions (NBS)**, KONE delivers elevators, escalators, automatic doors, and integrated access control systems designed to optimize people flow in residential, commercial, and infrastructure projects. This segment is driven by urbanization, changing demographics, and GDP growth, with demand following regional construction cycles. This causes annual fluctuations in NBS sales, primarily driven by declining trends in Greater China, which accounted for 23% of KONE's sales. As a result, NBS sales decreased by 8.4% from FY23 (a 7.1% decline at comparable exchange rates). While overall NBS sales declined slightly, the volume business saw a clear downturn, whereas major projects experienced significant growth. Notably in Q4 FY24, KONE secured a deal to provide a suite of People Flow® solutions for the Peninsula Integrated Resort in Sihanoukville, Cambodia, developed by the Chinese foreign investment firm Peninsula Bay Investment Co., Ltd. (2) In **Service**, KONE ensures the safety, reliability, and availability of installed equipment through maintenance and repair solutions for building owners, facility managers, and housing corporations. This segment benefits from a growing installed base and strict safety regulations. As a result, this generates a stable and recurring revenue stream with over 90% annual customer retention. In Q4 FY24, Service sales grew by 9.1% year-over-year (9.5% at comparable exchange rates), leading to an adjustment in KONE's business model to reflect the strong growth in service sales. (3) **Modernization** focuses on upgrading aging equipment, from component replacements to full system overhauls for building owners, housing corporations, and facility managers. Key growth drivers include an aging installed base, rising demands for efficient people flow, a stronger emphasis on building adaptability, safety, and sustainability, as well as a robust maintenance base. From FY23 to FY24, the Modernization segment recorded the highest sales growth at 9.7% (10.1% at comparable exchange rates), contributing to improved profitability, with an EBIT margin of 11.7% in FY24. Unlike NBS, where sales declined, Modernization orders received grew significantly, driven by strong volume business, while major projects saw a notable decline. KONE operates a **capital-light business model**, working closely with component suppliers to optimize manufacturing capacity while maintaining negative working capital across all segments.

Geographical revenue breakdown KONE's total revenue for 2024 reached €11,098.4 million, reflecting a 1.3% year-over-year increase and 2.2% growth at comparable exchange rates. The Americas region experienced the highest growth at 10.4% (10.9% at comparable rates), driven by strong performance in New Building Solutions, Service, and Modernization. Europe grew by 5.8% (5.5% at comparable rates), though New Building Solutions sales declined while Service and Modernization segments grew. The APMEA region (excluding Greater China) grew 9.4% (13.5% at comparable rates), with all segments performing strongly. Conversely, Greater China faced a significant decline of 16% (14.8% at comparable rates), largely due to weakened demand for New Building Solutions, while Service and Modernization remained resilient.

Share price driver

KONE's share price is driven by a combination of financial performance, market dynamics, and strategic initiatives. The company's profitability (EBIT margin), driven by the growth of its high-margin Service and Modernization segments, along with stable cash flow, plays a key role in investor confidence. Earnings stability is supported by a steady stream of maintenance contracts and the number of major People Flow® system projects, as well as deals for elevators, escalators, and moving walkways from volume business. However, fluctuations in NBS, particularly in Greater China, from the construction slowdown and real estate market downturn (in FY24) can impact overall growth trends. Macroeconomic factors including construction activity cycles and currency exchange rates (especially EUR/CNY) also influence demand for KONE's solutions. Additionally, the adjustment in KONE strategies focusing on Investments in digitalization and sustainability enhances KONE's competitive positioning resulting in its long-term values.



Sales by business, MEUR	10–12/2024	10–12/2023	Change	Comparable change [1]	1–12/2024	1–12/2023	Change	Comparable change [1]
New Building Solutions	1,179.8	1,206.7	-2.2%	-2.9%	4,506.9	4,921.5	-8.4%	-7.1%
Service	1,189.0	1,069.0	11.2%	10.5%	4,503.6	4,127.0	9.1%	9.5%
Modernization	606.8	534.2	13.6%	12.8%	2,088.0	1,903.8	9.7%	10.1%
Total	**2,975.6**	**2,809.9**	**5.9%**	**5.1%**	**11,098.4**	**10,952.3**	**1.3%**	**2.2%**

Sales by Area, MEUR	10–12/2024	10–12/2023	Change	Comparable change [1]	1–12/2024	1–12/2023	Change	Comparable change [1]
Americas	741.0	644.7	14.9%	14.0%	2,727.1	2,469.4	10.4%	10.9%
Europe	1,152.0	1,067.1	8.0%	7.4%	4,233.8	4,000.7	5.8%	5.5%
APMEA	462.2	382.8	20.7%	21.8%	1,609.3	1,470.9	9.4%	13.5%
Greater China	620.5	715.3	-13.3%	-14.8%	2,528.2	3,011.3	-16.0%	-14.8%
Total	**2,975.6**	**2,809.9**	**5.9%**	**5.1%**	**11,098.4**	**10,952.3**	**1.3%**	**2.2%**

1 Change at comparable foreign exchange rates

		10–12/2024	10–12/2023	Change	1–12/2024	1–12/2023	Chan
ating income	MEUR	332.5	362.1	-8.2%	1,249.0	1,200.1	4.
ating income margin	%	11.2	12.9		11.3	11.0	
sted EBIT	MEUR	386.5	358.6	7.8%	1,303.0	1,248.4	4.
sted EBIT margin	%	13.0	12.8		11.7	11.4	
me before taxes	MEUR	329.5	360.6	-8.6%	1,254.1	1,206.1	4.
ncome	MEUR	244.5	276.3	-11.5%	961.0	931.6	3.
: earnings per share	EUR	0.47	0.53	-11.2%	1.84	1.79	2.

INDUSTRY OVERVIEW

The elevator industry is a vital part of the global infrastructure sector, mainly driven by urbanization, population growth, and technological advancements. In this report, the market is segmented into three categories: (1) by product - elevators, escalators, and moving walkways; (2) by application - residential, commercial, and industrial; and (3) by business - new building solutions (NBS), service, and maintenance (4) by region - Asia Pacific, North America, Europe, Latin America, Middle East and Africa (MEA).

A growth of urbanization trends and infrastructure investment - positive

The global elevator and escalator industry is experiencing sustained growth, primarily driven by rapid urbanization and expanding infrastructure. Currently, over 56% of the global population resides in urban areas, a figure projected to reach 68% by 2050. As cities grow both horizontally and vertically, the demand for high-rise buildings, smart infrastructure, and sustainable urban development continues to rise, fueling the elevator market. The industry is expected to grow at a CAGR of 8.5% from 2025 to 2029. Additionally, according to the U.S. Census Bureau, construction spending increased by 6.7% from FY23, further supporting the demand for vertical transportation solutions.

Downtrend of the Chinese real estate market - negative

The downtrend in the Chinese real estate market has significantly impacted the global elevator industry due to China's dominant role in urban development and infrastructure expansion. As one of the world's largest elevator markets, accounting for 29.3% of total sales, China contributes substantially to new elevator and escalator installations. However, the slowdown in China's real estate sector - driven by declining property investments, regulatory tightening, and financial instability among major developers - has weakened demand for NBS. A reduced number of residential and commercial construction projects has directly translated into fewer orders for elevators, escalators, and moving walkways. Since China has historically been a key growth driver for elevator manufacturers, companies with high exposure to the region, such as KONE, Schindler, and Otis, are particularly vulnerable to these market fluctuations. This has resulted in increased pricing pressure, slower revenue growth, and potential margin compression across the industry.

Increased Trend in Green Technology and Sustainability - Positive

The green technology and sustainability market has experienced exponential growth in recent years, driven by increasing concerns over climate change and environmental sustainability. The rising global temperature, largely attributed to greenhouse gas emissions, has intensified the demand for sustainable solutions. As a result, businesses and consumers are increasingly investing in eco-friendly innovations. In 2024, the market size is estimated at $18.81 billion and is projected to reach $23.41 billion in 2025, reflecting a compound annual growth rate (CAGR) of 24.4%. By 2029, the market is expected to exceed $55 billion, showcasing significant expansion opportunities. Key growth drivers include regulatory policies, corporate sustainability commitments, advancements in clean energy, and consumer awareness of environmental impact.

Competitive Positioning

Capital-light business model

KONE operates with a capital-light business model, which enhances its financial flexibility, reduces investment risks, and enables strong cash flow generation. This approach is driven by three key factors: an outsourced manufacturing strategy, a negative working capital structure, and a high-margin, service-driven revenue mix. (1) KONE outsourced a significant portion of its components from a third-party supplier with them focusing on assembly and quality control. This helps minimize fixed costs and reduce capital expenditure (CAPEX), allowing KONE to quickly adapt to market fluctuations. (2) KONE receives payments from customers before paying its suppliers. This structure allows the company to finance its operations using customer prepayments instead of heavy reliance on debt or equity financing. (3) KONE's business is heavily weighted toward services, which accounted for 41% of total revenue in FY24. The service segment requires low capital investment but generates high margins, which ensures stable and recurring cash flow. With over 1.6 million units maintained globally and an annual customer retention rate exceeding 90%, KONE benefits from a strong, long-term revenue stream with minimal additional costs.

Industry Leadership in Innovation and Sustainability

KONE has established itself as a leader in sustainability by exceeding its carbon reduction targets and driving innovation in the industry. In 2022, KONE reduced its Scope 1 and 2 emissions by 17% compared to 2018 levels and achieved a 21% reduction in comparable carbon footprint compared to 2019. This success was driven by a transition to renewable electricity and a lower-emission vehicle fleet. The company also aims for carbon-neutral operations by 2030, reinforcing its long-term commitment to sustainability. Additionally, KONE's portfolio of over 3,000 patents underscores its leadership in innovation, continuously developing cutting-edge solutions to enhance energy efficiency and drive sustainable urban mobility.

Largest market share in smart elevators

KONE holds the largest market share in the smart elevator segment due to its early adoption of IoT, AI-driven predictive maintenance, and cloud-based elevator management systems. The company's strong investment including KONE 24/7 Connected Services (which predicts failures before they happen), People Flow® solutions (which optimize movement within buildings), and KONE Destination (which efficiently groups passengers heading to the same floor) has positioned it ahead of competitors like Otis, Schindler, and TK Elevator in intelligent vertical transportation. In FY23, KONE secured a 23.7% market share, the largest among its competitors.

INVESTMENT THESIS

REASON 1: KONE's expansion into emerging markets for its upcoming projects allows KONE to tap into the potential of these markets.
KONE has upcoming projects in Cambodia, India, and China, which are all emerging markets. Upcoming projects like equipping a five-star hotel and commercial complex in Sihanoukville, Cambodia, equipping Aga Hall Estate housing complex in Mumbai, India and supplying escalators for eight stations on the new Line S2 of the Nanjing to Ma'anshan intercity rail in China are all notable projects KONE will be embarking on in the near future. These projects reflect more than just market expansion - they showcase how KONE is bringing its sustainable mobility solutions to rapidly developing urban areas. By investing in these regions, KONE aims to spark local economic growth while creating job opportunities. The diversity of these projects, spanning luxury hospitality, residential developments, and mass transit infrastructure, is proof of KONE's strategic entry into these markets to target emerging economies to gain a foothold. Particularly noteworthy is how they align with both business growth and sustainable urban development. KONE is not just selling equipment but is helping shape the future of these cities while creating value for investors and local communities. The company understands that success in emerging markets requires a balanced approach that considers both commercial opportunities and social impact.

REASON 2: KONE is able to emerge through the challenges due to its market diversification as well as pivoting to high margin services in several markets with high profit-margin.
KONE is on positive business growth in North America, Europe & Asia-Pacific, Middle East and Africa (APMEA) for most of its 3 businesses - new business solutions, servicing & maintenance and modernisation . Modernization of the business has had the strongest growth worldwide with significant growth rates of more than 10% globally except Europe with clear growth of 5 to 10% compared to 2023. Such robust figures globally illustrate the global appetite for upgrading aging infrastructure and the rising demand for energy-efficient and smart mobility solutions. While European growth was slightly more modest, the region still contributed solidly to the overall performance, reinforcing the idea that even mature markets can benefit from strategic modernization initiatives. Despite the tough Chinese market due to the property market downturn, KONE was able to achieve a 2.2% net growth from 2023 to 2024. This was done so by shifting the company towards high-margin, recurring revenue streams. As urbanisation and infrastructure modernisation drives the global market, KONE's focus on its service expansion, and targeting emerging markets like APMEA positions it well for long-term value creation and margin expansion.

REASON 3: KONE is emerging as a sustainable leader compared to its competitors in the elevator and escalator industry proves its capabilities in the tough market.
KONE has emerged as a clear sustainability leader in the elevator and escalator industry, as shown by several recent achievements. The company made it onto the Clean200 List and ranked in the top 1% of EcoVadis's 2024 sustainability assessment, scoring particularly well in areas like labor rights, ethics, and responsible purchasing. While competitors Otis and Schindler have made their own sustainability commitments, KONE stands out - especially in adopting circular economy practices, which are notably absent from Otis's strategy. What really sets KONE apart is its ambitious timeline for carbon neutrality. They are aiming for 2030, a full decade ahead of Schindler and two decades before Otis. This aggressive target shows they're serious about making urban transportation more environmentally friendly. They've already made significant progress, with carbon-neutral manufacturing facilities already in place. Their efforts haven't gone unnoticed - which is evident in KONE earning both an EcoVadis Gold Medal and an 'A' rating from CDP. KONE is not just focused on environmental issues - they're also leading the way in social responsibility and transparent governance. Their comprehensive approach to diversity, equity, and inclusion, combined with their strong safety record and investments in making cities more accessible, helps protect their reputation and reduce operational risks. This stands in stark contrast to their competitors - Otis struggles with supply chain transparency, while Schindler lacks a cohesive global diversity strategy. The company's commitment to good governance is evident in practical measures like their whistleblower program (the KONE Compliance Line), thorough supply chain auditing, and detailed reporting that follows GRI standards. For institutional investors looking at the long term, these factors make KONE a more stable choice that's better protected against both regulatory changes and market ups and downs.

		Historical					Forecast					CAGR	
		2020A	2021A	2022A	2023A	2024A	2025E	2026E	2027E	2028E	2029E	CAGR 20-24	CAGR 25-29
Total Revenue	Total	9938.5	10514.1	10906.7	10952.3	11098.4	11409.155	11728.612	12057.013	12394.609	12741.658	2.80%	2.80%
	Growth		5.79%	3.73%	0.42%	1.33%	2.80%	2.80%	2.80%	2.80%	2.80%		
EBIT	Total	1251	1310	1077	1248	1303	1355.12	1409.3248	1465.6978	1524.3257	1585.2987	1.02%	4.00%
	Growth		4.72%	-17.79%	15.88%	4.41%	4.00%	4.00%	4.00%	4.00%	4.00%		
EBITDA	Total	1489.6	1566.2	1400.7	1480.3	1586.3	1661.084	1739.7659	1822.5742	1909.7522	2001.5594		
	Growth		5.14%	-10.57%	5.68%	7.16%	4.71%	4.74%	4.76%	4.78%	4.81%		
Depreciation & Amortization	Total	-238.6	-256.2	-323.7	-232.3	-283.3	-305.964	-330.4411	-356.8764	-385.4265	-416.2606	4.39%	8.00%
NOPAT	Taxed 23.4%	-292.734	-306.54	-252.018	-292.032	-304.902	-317.0981	-329.782	-342.9733	-356.6922	-370.9599	1.02%	1.02%
	Total	958.266	1003.46	824.982	955.968	998.098	1038.0219	1079.5428	1122.7245	1167.6335	1214.3388		
CAPEX	Total	397	322.4	276.3	222.7	204.5	184.05	165.645	149.0805	134.17245	120.75521	-15.28%	-10.00%
Change in Net working capital	Net working capital	-1160	-1468	-904	-861	-827	-785.65	-746.3675	-709.0491	-673.5967	-639.9168	-8.11%	-5.00%
	Total Change	-304	-308	564	43	34	41.35	39.2825	37.318375	35.452456	33.679833		
Unlevered FCF	Total	1897.866	1890.06	860.982	1367.968	1451.898	1486.6859	1536.3464	1591.363	1651.78	1717.6748		
Present Value of Unlevered FCF	Discount Rate						6.84%	6.84%	6.84%	6.84%	6.84%		
	Discount Period						1	2	3	4	5		
	Total						1391.5394	1345.9897	1304.9628	1267.8193	1234.0206		

VALUATION

Our price target for a 12 month investment is at 54.31 EUR per share, a 4.20% upside to price on 12 Feb 2025. We conducted an intrinsic valuation using Discounted Cash Flow Analysis.

DCF WITH 5-YEAR PROJECTION PERIOD
We valued KONE using 5-year DCF model. This is because KONE's business model includes a recurring revenue stream (from maintenance and service contracts) and KONE has a stable cash flows, which makes DCF a strong valuation method as it captures the long-term cash flow potential.

WACC
We use a pre-tax cost of debt as 4.37%. Results in After-tax cost of debt of 3.35% based on 23.4% tax rate. For the cost of equity, we derived KONE's Equity beta from the Bottom-up Beta approach. We used a
global unlevered beta for industries from Dr. Aswath Damodaran's resources. Where KONE operating in two different sector: Engineering/Construction and Machinery. Then, we got a average asset beta of 0.89 where then we calculate the Equity Beta by incorporating Debt/Equity ratio and tax rate from the KONE's 2024 financial report , results in Equity beta of 0.91. Then, by CAPM, we use risk-free-rate of 2.74 based on Finland 10Y Government Bond and Equity Risk Premium of 4.61 from Damodaran's resource. End up with Cost of Equity 6.94%. Then, we are able to calculate WACC to equal to 6.84%.

TERMINAL GROWTH
We assumed a terminal growth rate of 2.5% based on GDP growth expectations for developed markets where KONE operates and Finland 10-yeargovernment bond yields of 2.74%.

Average Asset Beta	0.89
D/E 2024	0.02
Tax Rate	23%
Equity Beta	**0.91**

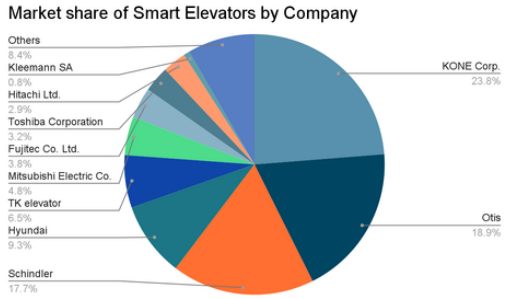
Pre-tax Cost of Debt	4.37%
Tax rate	23%
After-tax Cost of Debt	**3.35%**

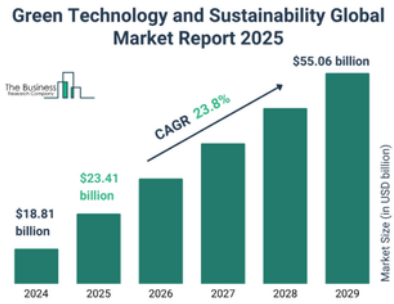
Risk-free rate	2.74%
Market risk premium	4.61%
Equity Beta	0.91
Cost of Equity	**6.94%**

Market value of debt	700.5 M
Market value of equity	24320M
Enterprise value	25020.5 M
WACC	**6.84%**

Segment	% Revenue AY2024	Unlevered Beta by Industry	Weighted Beta
Engineering/Construction	40.61%	0.62	0.25
Machinery	59.39%	1.08	0.64
Average Asset Beta			**0.89**

WACC	6.84%
Terminal Growth Rate	2.50%
PV of UFCF	6628
Terminal Year UFCF	29840
PV of Terminal Year	21438
EV	28066
Debt	(701)
Current Portion of Leases (Bloomberg)	(132.80)
Long-Term Leases (Bloomberg)	(299.80)
Minority Interest (MarketScreener)	(26.30)
Cash (MarketScreener)	576
Equity Value	**27483**
S.O	529.40
Implied Price	**51.91**
1-Yr Target	**55.46**
Current Price	52.12
Implied Return	**6.41%**





Price Catalyst

Positive catalyst:
A faster-than-expected recovery in China's property market could significantly boost KONE's performance. If government stimulus measures prove effective or if urbanization trends accelerate, we could see a substantial rebound in new equipment orders from the Chinese market. This would have an immediate positive impact on both revenue and earnings. Another potential growth driver lies in KONE's service and modernization segment. The company could exceed market expectations by successfully expanding its service contract base, increasing adoption of its 24/7 Connected Services platform, and making strategic acquisitions in the service sector. Such developments would likely strengthen KONE's recurring revenue streams and overall market position.

Negative catalyst:
However, several significant risks could impact KONE's performance. The most pressing concern is the potential for further deterioration in China's property market. If the current crisis deepens, leading to steeper declines in construction activity and greater financial instability among property developers, KONE's new equipment sales could face substantial pressure. Beyond China-specific risks, a broader global economic downturn poses another significant threat. A recession, particularly if it affects KONE's core markets in Europe and North America, would likely lead to reduced construction activity and delayed modernization projects, impacting both new equipment sales and service revenue.

INVESTMENT RISKS

Risk 1: Geographical risk of investing and entering in emerging economies.
In the Global Peace Index, China ranked 88th, Cambodia at the 70th and India at 116th which shows that emerging economies have higher levels of violence, political instability, and social unrest, essentially signifying a low level of peace compared to other countries in the world. Compared to established economies like Singapore at 5th place and Canada at 11th, Cambodia, China and India may be a risky move for KONE to invest in.

Mitigant 1: KONE is able to reduce its risk as it diversifies itself in different markets. Other than APMEA and Greater China, KONE has a strong presence in Europe and the Americas, where 63% of its sales are located in 2024. As such when considering the inherent risks in entering emerging markets, KONE's diversification allows it to mitigate some of its risks. Balancing investments across multiple emerging markets reduces the impact of localized economic or political downturns. Moreover, even if the projects do not perform well, more than 60% of KONE's business strategy is on servicing and modernization of their products so it allows KONE to have a greater risk appetite to venture into India, China and Cambodia. Other than that, being able to thrive in arduous markets, like what KONE has done in China means that, KONE will be able to gain a tactical base for its new market expansions globally.

Risk 2: China's poor buyer sentiment has been a trend since early 2023. KONE faces significant headwinds in the Chinese market, where buyer sentiment has been depressed since early 2023, reflecting a broader property sector downturn that began in 2022.
While KONE's service and modernization segments have shown positive growth globally, the company experienced a substantial decline in overall sales within China during 2024. A continuation or worsening of this trend represents a material risk to KONE's overall revenue and profit growth, given China's significant contribution to the company's total sales. The risk is not just a short-term drop, but a potential structural shift in demand for new equipment in China. The highly leveraged nature of many Chinese property developers, combined with government policy interventions and consumer confidence issues, adds to the uncertainty."

Mitigant 2: There is resilience amidst NBS decline in China. While global NBS dropped by 7.4%, Service and Modernization globally more than offset the significant decrease. Moreover, even with Chinese 16% negative growth in sales, KONE was able to make up for it due to its high diversification in different markets, such as America, APMEA and Europe. Balanced geographic presence reduces risk of China's regional downturns, while growth in APMEA signals emerging market potential. Thus, with KONE's ability to adapt to changing market dynamics to divert to higher margin services, shifting towards more service-based solutions help to reduce the company's dependence on volatile new product sales. Although China's economic situation is not promising, KONE will be able to thrive in these new challenges even if China's situation remains the same in 2025. A better than expected margin development, or a faster than expected turnaround of the Chinese economy could also prove to be a mitigant.

Risk 3: Technological risks in moving towards a more digitised future
Technological disruption presents significant challenges to the elevator and escalator industry's established markets. Potential market entrants from the technology sector or adjacent industries, particularly those specializing in building automation, could introduce disruptive innovations in AI-powered predictive maintenance, advanced installation robotics, or novel lift technologies. This technological transformation, coupled with intensifying price competition in the new equipment segment, poses substantial risks to KONE's market position. The pricing pressure in new installations has broader implications, potentially affecting the service business segment as customers develop expectations for reduced maintenance contract costs. Moreover, the prevalent assumption regarding modernization projects as consistently high-margin endeavors overlooks their inherent complexity and exposure to competitive bidding processes. The emergence of local competitors in developing markets further compounds these competitive pressures.

Mitigant 3: Kone's technological expertise sets itself apart from its competitors to have a strong competitive edge
However, KONE's strategic response to these challenges demonstrates substantial foresight. The company's implementation of "24/7 Connected Services" and integration of smart building technologies serves as a crucial market differentiator. These digital innovations enhance predictive maintenance capabilities and operational uptime while delivering superior customer experience, effectively increasing switching costs for clients considering lower-priced alternatives. KONE's substantial R&D investment, representing 1.8% of sales, emphasizes their commitment to technological advancement, particularly in artificial intelligence, robotics, and Internet of Things applications.
The company's strategic approach to innovation extends beyond internal development through strategic partnerships, as evidenced by their participation in the Veturi project, enabling access to external expertise and collaborative development of transformative technologies. KONE's established brand equity and global operational scale create significant barriers to entry. The focus on premium products allows KONE to maintain a price premium in segments less vulnerable to commoditization. KONE's existing installed base also represents a significant advantage in securing service and modernization contracts.

APPENDIX

- HTTPS://WWW.UN.ORG/DEVELOPMENT/DESA/EN/NEWS/POPULATION/2018-REVISION-OF-WORLD-URBANIZATION-PROSPECTS.HTML
- HTTPS://WWW.THEBUSINESSRESEARCHCOMPANY.COM/REPORT/ELEVATOR-AND-ESCALATOR-GLOBAL-MARKET-REPORT
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